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technology or adopt modern management practices. They operate in the traditional mold which may not be suitable in the modern business environment and therefore suffer losses.

x. Lack of secrecy

Maintenance of business secrets is the key for the competitiveness of any business organization. But business secrets cannot be maintained in cooperatives because all members are aware of the activities of the enterprise. Further, reports and accounts have to be submitted to the Registrar of Co-operative Societies. Therefore information relating to activities, revenues, members etc becomes public knowledge.

xi. Conflicts among members

Cooperative societies are based on the principles of co-operation and therefore harmony among members is important. But in practice, there might be internal politics, differences of opinions, quarrels etc. among members which may lead to disputes. Such disputes affect the functioning of the co-operative societies.



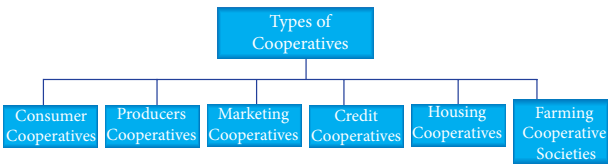


xii. Limited scope

Co-operative societies cannot be introduced in all industries. Their scope is limited to only certain areas of enterprise. Since the funds available are limited they cannot undertake large scale operations and is not suitable in industries requiring large investments.

7.05 Types of Cooperatives

The Cooperatives can be broadly classified into two viz., Credit Cooperatives and Non- Credit Cooperatives. The credit cooperatives can be further classified into Agricultural credit and non-Agricultural credit coopertives. However for beginners the coopertives are classified as follows.



A. Consumers Cooperatives

Consumer cooperatives are organized by consumers that want to achieve better prices or quality in the goods or services they purchase. In contrast to traditional retail stores or service providers, a consumer cooperative exists to deliver goods or services rather than to maximize profit from selling those goods or services. They also supply essential commodities through Public Distribution System (PDS). Nationally, the most widely used cooperative form is the credit union, with some 90 million members. Credit union assets have grown a hundred-fold in three decades. Credit unions are essentially cooperatives of people that use banking services.